

Housekeeping and energy can fund the board's margin target

Alder & Vale Hotels · diagnostic for the COO

Matching the peer median on housekeeping and energy adds 2.2 pts of EBITDA margin

The two gaps are worth \$5.0M a year and lift EBITDA margin from 15.8% to 18.0%, without cutting the service standard guests notice.

Housekeeping costs 13.9% of rooms revenue, above the 12.9% peer median: \$2.4M a year.

- Airport hotels run highest at 15.9%.
- Every room gets a full clean daily, even on one-night stays.

Energy costs \$39.9 per room-night sold, above the \$34.9 median: \$2.6M a year.

- Guest-room HVAC runs whether or not the room is sold.
- Only 3 of 10 hotels have occupancy-linked thermostats.

Together the gaps add 2.2 points, more than the 2 the board asked for.

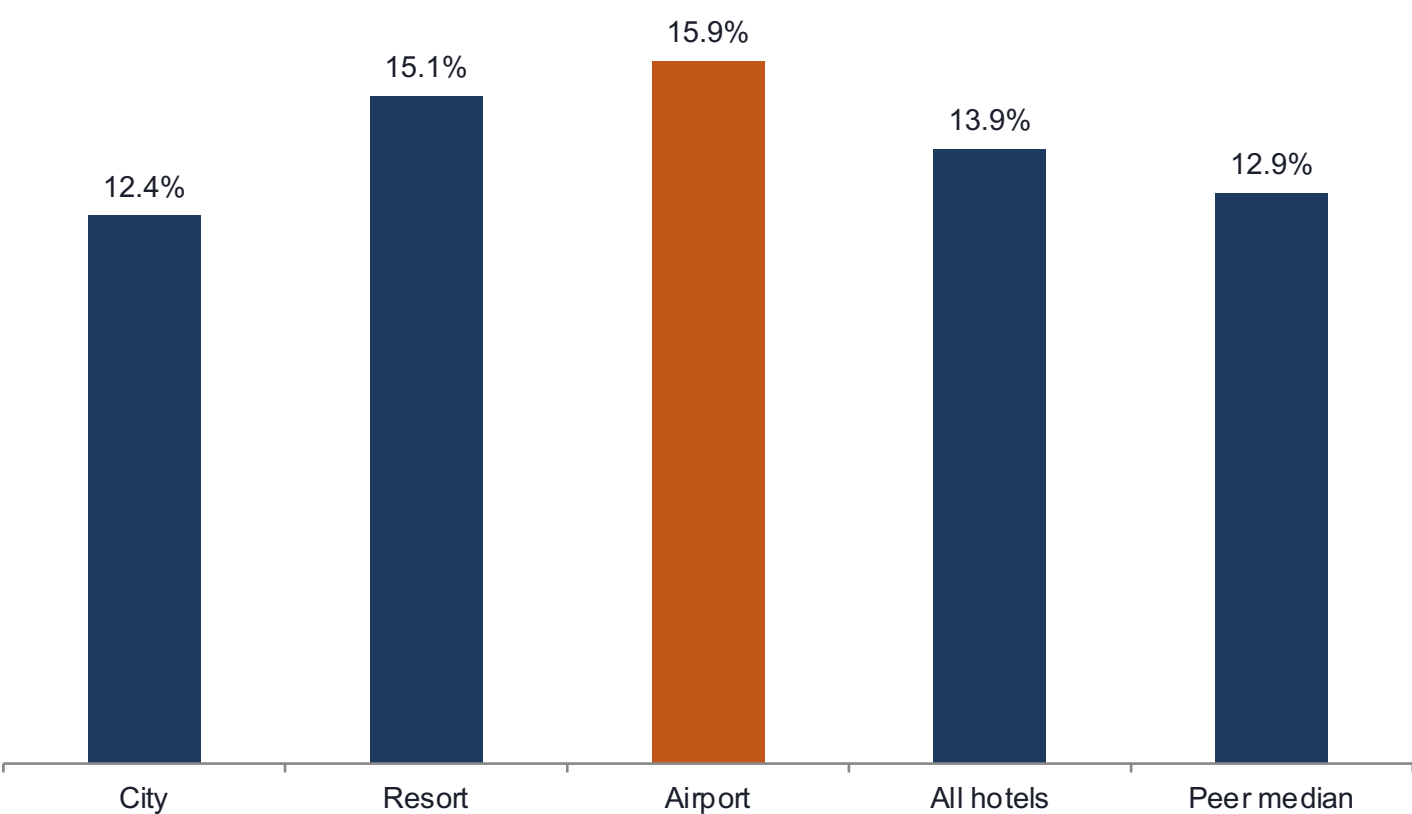
- The surplus gives room to protect service scores.

Start with a light-refresh standard for short stays and thermostat retrofits.

- Each acts on the largest driver of its gap.

Housekeeping costs 13.9% of rooms revenue, highest in Airport hotels at 15.9%

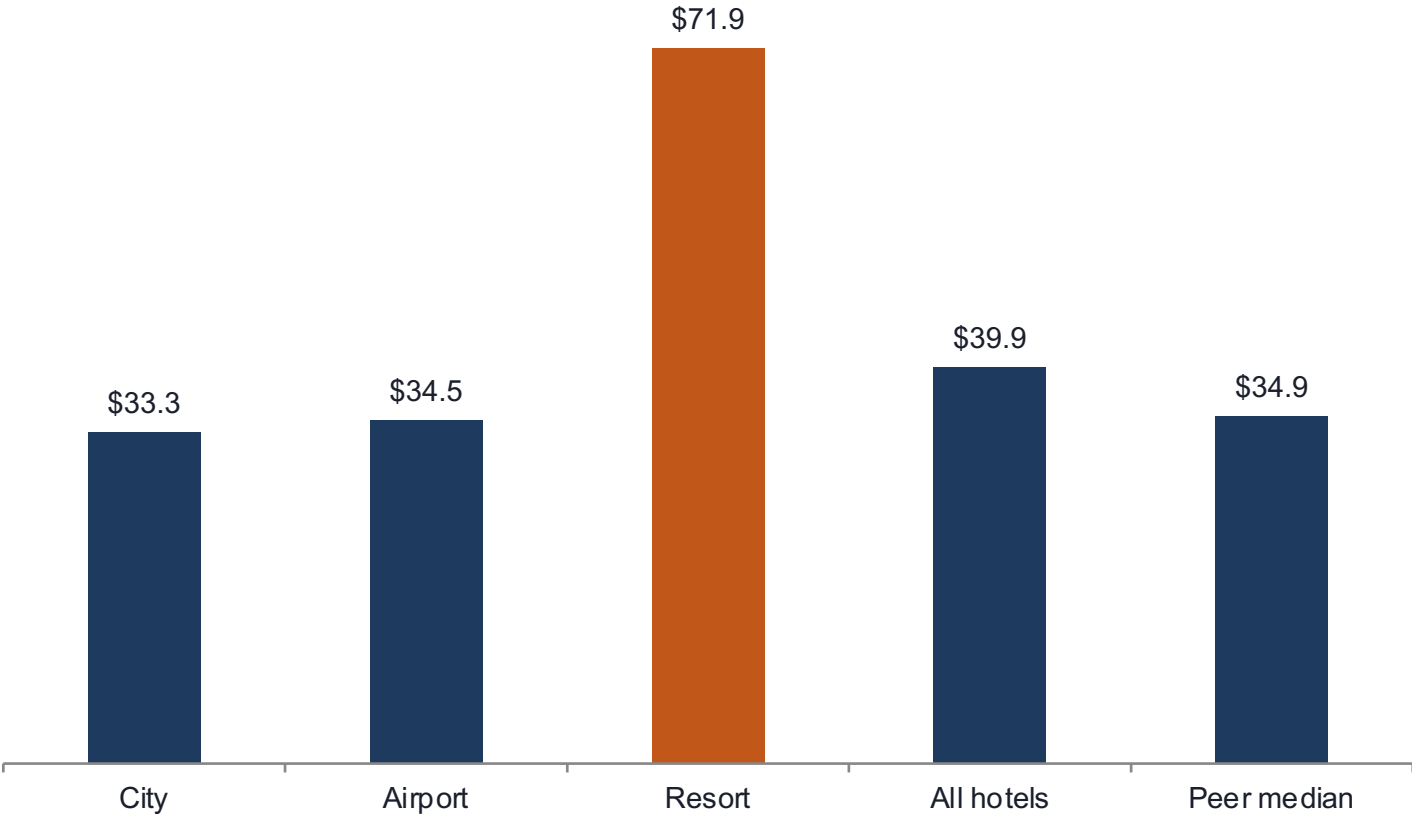
Housekeeping cost, % of rooms revenue, FY25, by segment



Short stays drive it. Airport guests stay one night, and every room still gets a full daily clean.
Guests would accept less. Short-stay guests say a light refresh is enough (GM interviews).

Energy costs \$39.9 per room-night sold, \$5.0 above the peer median

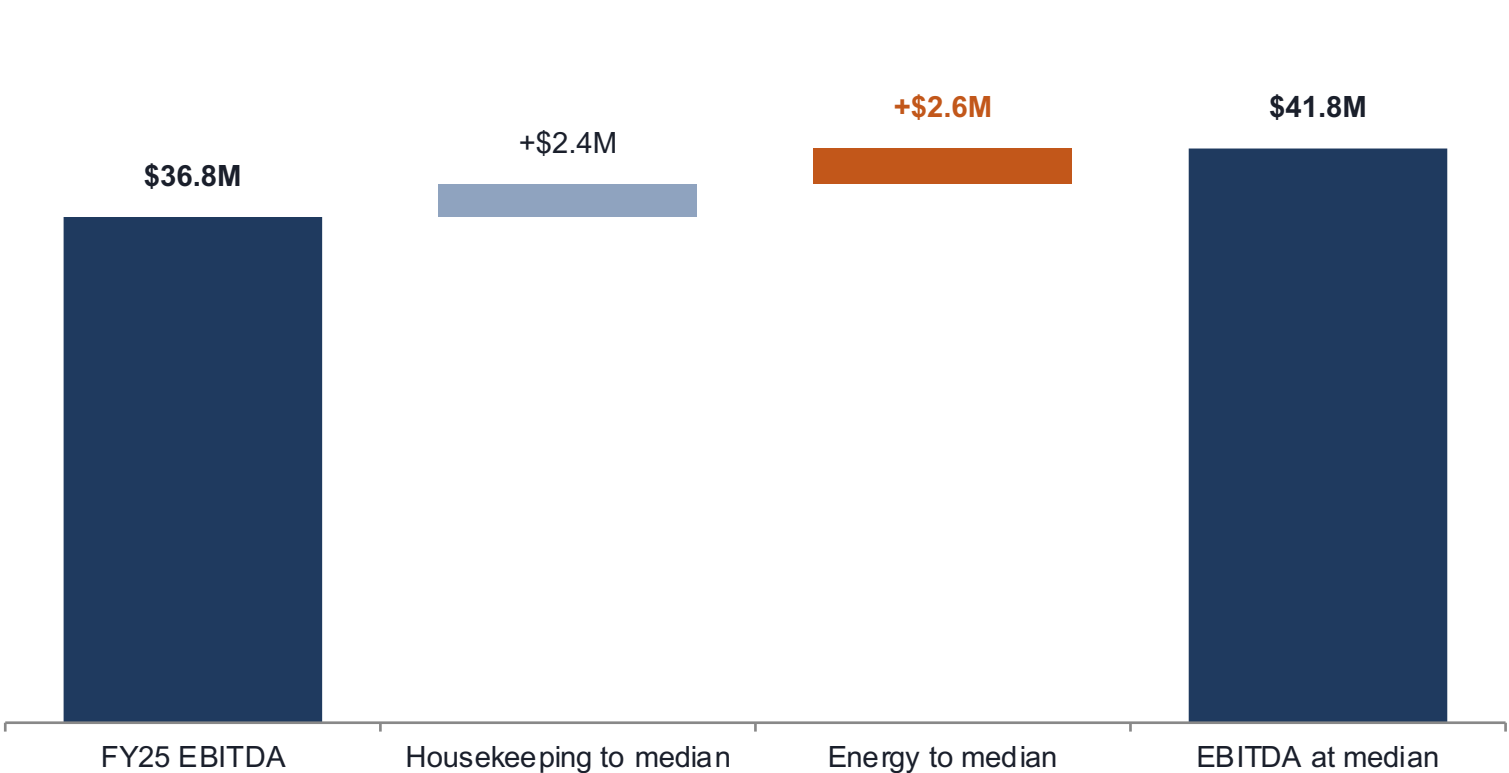
Energy cost, \$ per room-night sold, FY25, by segment



Empty rooms still use energy. Unsold rooms take about 30% of guest-room energy in the low season (AV Dunes GM estimate).
Resort hotels pay most. Resort hotels spend \$71.9 a room-night, against \$34.9 for the peer median.

Closing both gaps lifts hotel EBITDA from \$36.8M to \$41.8M

Hotel EBITDA, \$ millions, FY25 base



The margin moves from 15.8% to 18.0%.
That exceeds the board's 2-point ask.

Three levers act on how rooms are cleaned, cooled, and scheduled; two come first

Light refresh for short stays.

Clean one-night rooms to a refresh standard (bed, bathroom, bins) and keep the full clean for stays of two nights or more.

Occupancy-linked thermostats.

Set unsold rooms to a set-back temperature. Only 3 of 10 hotels have the controls; a retrofit costs about \$1,100 per room.

Housekeeping scheduling.

Plan housekeeping hours from forecast departures, not from a fixed daily roster.

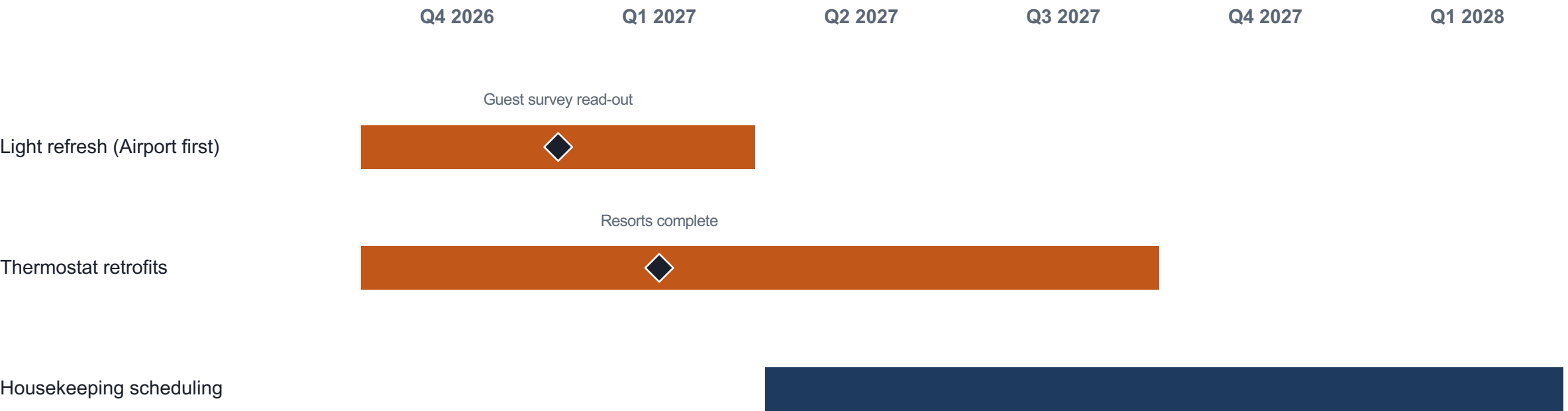
The first two levers leave what guests notice unchanged.

The light-refresh standard and thermostat retrofits score highest; start with both

	Size of the gap it closes	Speed to impact	Guest experience protected	Evidence in the data
Light refresh for short stays				
Occupancy-linked thermostats				
Housekeeping scheduling				
Supplier re-tender				

Scale: ○ none ◐ low ◑ medium ◒ high ● full

Both first levers go live within a year



The COO can approve the Airport pilot and a \$1.5M retrofit budget this quarter

Decision or action	Owner	When
Approve the light-refresh pilot at both Airport hotels	COO	This quarter
Approve thermostat retrofits: 7 hotels, 1,330 rooms, \$1.5M	COO	This quarter
Confirm FY25 rooms revenue: summary vs the figure in the email	Finance	Before the board
Set the guest-satisfaction guardrail for the pilot	Operations	Before launch

Agenda

1 Diagnosis

2 Levers

3 Plan

4 Appendix

Appendix: AV Airport South has the highest housekeeping share (16.4%) and AV Dunes the highest energy cost per room-night (\$74.4)

Hotel	Segment	Rooms	Housekeeping, % of rooms revenue	Energy, \$ per room-night sold
AV Harbourside	City	240	12.4%	\$33.0
AV Old Town	City	180	12.8%	\$34.0
AV Riverside	City	210	11.8%	\$33.2
AV Station	City	160	13.8%	\$34.7
AV Cathedral	City	150	11.5%	\$31.6
AV Airport	Airport	300	15.6%	\$33.6
AV Airport South	Airport	260	16.4%	\$35.6
AV Lakeside	Resort	120	15.1%	\$68.8
AV Dunes	Resort	140	15.4%	\$74.4
AV Pinewood	Resort	110	14.9%	\$72.1
All hotels		1,870	13.9%	\$39.9

Appendix: housekeeping at 13.9% sits above all three peers (12.4%–13.4%)

Housekeeping cost, % of rooms revenue, FY25



Source: Peer benchmarks (public filings, industry survey); Alder & Vale FY25 hotel P&L